AMERICAN FINANCIAL NETWORK, INC.

FHA Risk Monitor - HUD Compare Ratio Committee Report

Generated July 20, 2026 at 10:49 PM | 9,486 loans analyzed | Performance Period: June 1, 2024 - May 31, 2026

Compare Ratios

HUD COMPARE RATIO (Retail)	TOTAL LOANS (Retail)	OVERALL DQ RATE (Retail)	TERMINATION RISK OFFICES (Retail)
97%	4,572	3.1%	1

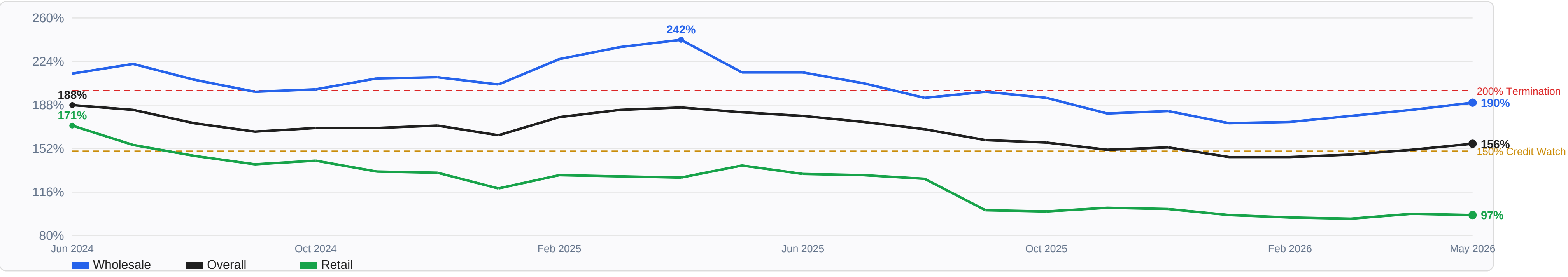
HUD COMPARE RATIO (Wholesale)	TOTAL LOANS (Wholesale)	OVERALL DQ RATE (Wholesale)	TERMINATION RISK OFFICES (Wholesale)
190%	4,914	7.4%	5

EXECUTIVE SUMMARY FOR COMMITTEE REVIEW

TERMINATION RISK - 9 Offices (>200% CR + >100 loans)

Office	CR	Status	Change	DPA
Fresno	265% -> 104%	Safe	-161pts	R:21% / WS:32% DPA
Dallas	247% -> 247%	At Risk	-0pts	R:9% / WS:51% DPA
Baltimore	243% -> 157%	Credit Watch	-86pts	R:8% / WS:65% DPA
Birmingham	232% -> 132%	Safe	-100pts	R:31% / WS:76% DPA
San Antonio	225% -> 189%	Credit Watch	-36pts	R:26% / WS:59% DPA
Santa Ana	224% -> 137%	Safe	-87pts	R:19% / WS:36% DPA
Portland	215% -> 156%	Credit Watch	-59pts	R:0% / WS:47% DPA
New Orleans	214% -> 178%	Credit Watch	-36pts	R:10% / WS:50% DPA
Atlanta	213% -> 145%	Safe	-68pts	R:17% / WS:57% DPA

24-MONTH COMPARE RATIO TREND



TERMINATION RISK OFFICES - PERFORMANCE MATRIX (9 offices, >200% CR, >100 Loans)

Office	Total CR (proj 3mo)	Retail CR	WS CR	Total Loans (proj 3mo)	Retail	WS	Total DLQ	Ret DLQ	WS DLQ	R Non DPA	R Boost	R Other	WS Non DPA	WS Boost	WS Other	R Rmvd	WS Rmvd	Rev Tot CR	Rev Ret CR	Rev WS CR	DPA Conc%
Fresno	202%	109%	322%	116	39	85	8	1	7	1	0	0	2	5	0	0	5	104%	109%	98%	28.2%
Dallas	163%	412%	157%	90	34	72	8	4	4	4	0	0	3	0	1	0	0	247%	412%	157%	37.7%
Baltimore	261%	56%	322%	180	84	109	21	2	19	2	0	0	4	15	0	0	8	157%	56%	201%	40.4%
Birmingham	226%	77%	272%	117	36	96	11	1	10	0	1	0	1	6	3	1	4	132%	0%*	170%	63.6%
San Antonio	151%	114%	257%	97	35	69	6	1	5	0	0	1	1	4	0	0	1	189%	114%	209%	48.1%
Santa Ana	187%	142%	246%	407	115	339	32	4	28	3	0	1	7	21	0	0	13	137%	142%	133%	31.9%
Portland	71%	0%	243%	124	7	128	7	0	7	0	0	0	2	4	1	0	2	156%	0%	176%	44.4%
New Orleans	277%	112%	207%	106	20	92	11	1	10	1	0	0	4	5	1	0	2	178%	112%	169%	42.9%
Atlanta	290%	75%	249%	465	157	348	47	5	42	3	2	0	8	30	4	1	15	145%	60%	167%	45.0%

Total Loans and Total CR shown as 3-month projected values (base scenario). Retail/Wholesale splits, DPA breakdowns, and Revised CRs reflect the current snapshot.

Legend: CR = Compare Ratio, Rev = Revised (post-EG removal), R = Retail, WS = Wholesale, Tot = Total.
Boost columns show DPA-Boost loans removed by EG logic.
DPA Conc% = office-level DPA concentration (share of the book, current snapshot).

** Cell value of 0% with nonzero delinquencies - either all DLQ loans were removed by EG-eligible adjustments, or no comparable HUD-area peer pool was available for the CR calculation.*

CREDIT WATCH OFFICES - PERFORMANCE MATRIX (11 offices, 150-200% CR, >=100 Loans)

Office	Total CR (proj 3mo)	Retail CR	WS CR	Total Loans (proj 3mo)	Retail	WS	Total DLQ	Ret DLQ	WS DLQ	R Non DPA	R Boost	R Other	WS Non DPA	WS Boost	WS Other	R Rmvd	WS Rmvd	Rev Tot CR	Rev Ret CR	Rev WS CR	DPA Conc%
Tampa	226%	149%	189%	364	176	220	30	9	21	5	1	3	3	14	4	1	5	155%	133%	148%	47.7%
Buffalo	180%	510%	113%	130	6	130	8	1	7	1	0	0	7	0	0	0	0	188%	510%	113%	11.8%
Philadelphia	199%	98%	291%	162	114	68	13	4	9	4	0	0	2	7	0	0	5	119%	98%	140%	22.5%
Miami	207%	53%	236%	241	101	164	19	2	17	2	0	0	2	14	1	0	7	115%	53%	145%	39.2%
Columbia	136%	214%	115%	281	150	158	18	10	8	6	3	1	3	5	0	3	4	108%	153%	59%	36.7%
Greensboro	158%	173%	150%	148	94	77	9	5	4	3	2	0	1	2	1	1	2	113%	140%	77%	41.5%
Camden	163%	120%	551%	126	125	12	9	6	3	5	1	0	0	1	2	1	1	126%	101%	400%	21.2%
Chicago	198%	165%	143%	163	140	49	15	11	4	10	1	0	1	2	1	1	1	140%	151%	110%	17.5%
Phoenix	122%	94%	156%	480	109	401	24	3	21	2	0	1	5	15	1	0	10	93%	94%	84%	51.4%
Cleveland	126%	138%	164%	116	83	43	7	4	3	4	0	0	1	2	0	0	1	133%	138%	112%	27.0%
Los Angeles	131%	134%	157%	223	83	165	11	3	8	3	0	0	3	5	0	0	2	124%	134%	120%	16.9%

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DPA Conc% = office-level DPA concentration (share of the book, current snapshot).

REMAINING CREDIT WATCH OFFICES (12 offices)

Office	Total CR (proj 3mo)	Retail CR	WS CR	Total Loans (proj 3mo)	Retail	WS	Total DLQ	Ret DLQ	WS DLQ	R Non DPA	R Boost	R Other	WS Non DPA	WS Boost	WS Other	R Rmvd	WS Rmvd	Rev Tot CR	Rev Ret CR	Rev WS CR	DPA Conc%
Lubbock	382%	662%	563%	23	6	21	4	1	3	0	0	1	0	1	2	0	0	588%	661%	562%	70.4%
San Diego	109%	0%	334%	27	6	28	2	0	2	0	0	0	2	0	0	0	0	275%	0%	334%	35.3%
Shreveport	326%	0%	341%	27	5	25	3	0	3	0	0	0	1	1	1	0	1	170%	0%	237%	53.3%
Seattle	209%	129%	236%	70	27	54	5	1	4	1	0	0	1	0	3	0	0	211%	129%	236%	29.6%
Louisville	157%	0%	216%	56	9	56	4	0	4	0	0	0	0	2	2	0	0	196%	0%	216%	49.2%
Fort Worth	141%	0%	218%	83	32	62	5	0	5	0	0	0	1	4	0	0	1	154%	0%	177%	51.1%
Pittsburgh	127%	0%	293%	46	22	28	3	0	3	0	0	0	3	0	0	0	0	188%	0%	294%	10.0%
Topeka	152%	0%	294%	77	36	50	5	0	5	0	0	0	4	1	0	0	0	179%	0%	294%	12.8%
Minneapolis	157%	159%	191%	56	34	27	4	2	2	2	0	0	1	1	0	0	1	134%	159%	99%	29.5%
Tucson	79%	288%	106%	37	12	28	2	1	1	1	0	0	1	0	0	0	0	167%	288%	106%	45.0%
Salt Lake City	161%	0%	337%	91	48	48	5	0	5	0	0	0	2	3	0	0	2	94%	0%	211%	27.1%
Denver	126%	0%	166%	70	8	73	4	0	4	0	0	0	0	4	0	0	3	39%	0%	43%	60.5%

Total Loans and Total CR shown as 3-month projected values (base scenario). Retail/Wholesale splits, DPA breakdowns, and Revised CRs reflect the current snapshot.

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PROJECTED DELINQUENT LOANS - National, Base Scenario

Projected count of delinquent loans and projected compare ratio at 1, 3, and 6 months. Base scenario. National view. Compare ratios are HUD-anchored.

Horizon	Projected Delinquent Loans	Projected CR (base scenario)	Status
1 month	504	156%	Watch
3 months	424	143%	Safe
6 months	311	121%	Safe

PROJECTED DROP-OFF - Loans Aging Out of HUD 24-Month Window

Projected loans falling off the HUD compare-ratio window (24-month FPD amortization) at 1, 3, and 6 months. Base scenario. National view.

Horizon	Current Loans in Window	Projected Drop-Offs	Projected Loans in Window (after)	Projected CR (base scenario)	Status
1 month	9,486	0	9,486	156%	Watch
3 months	—	776	8,710	143%	Safe
6 months	—	1,952	7,534	121%	Safe

Note: "Current Loans in Window" is today's window snapshot - identical across horizons; shown once on the top row.

Top Offices by Projected Drop-Offs (base scenario)

Next 1 month

No offices projected to lose loans at this horizon.

Next 3 months

Santa Ana - 47 drop-offs
projected CR: 187%
Atlanta - 40 drop-offs
projected CR: 290%
Detroit - 33 drop-offs
projected CR: 154%

Next 6 months

Santa Ana - 121 drop-offs
projected CR: 158%
Atlanta - 107 drop-offs
projected CR: 243%
Detroit - 95 drop-offs
projected CR: 156%

RETAIL vs WHOLESALE COMPARISON

Metric	Retail	Wholesale	Total
Total Loans	4,572	4,914	**9,486**
DPA Concentration	10.5%	52.5%	**32.2%**
Overall DQ Rate	3.11%	7.37%	**5.31%**
DPA DQ Rate	5.86%	9.97%	**7.99%**
Non-DPA DQ Rate	2.78%	4.50%	**3.67%**

Wholesale has 5.0x the DPA concentration of Retail

PORTFOLIO COMPOSITION

Program	Loans	% of Portfolio	DQ Rate
Standard FHA	6,429	67.8%	3.41%
DPA	3,057	32.2%	9.32%

PORTFOLIO RISK FACTORS

AI-generated risk factor analysis based on the active snapshot.

- Termination Risk: several offices breach the 200% HUD compare-ratio threshold with >100 loans.
- Wholesale channel runs DPA concentration much higher than retail - primary CR driver.
- DPA loans delinquent at ~2.4x the rate of Standard FHA.
- Boost removals reduce most termination-risk offices below 200%.
- LTV >95% bucket carries the highest delinquency rate.
- Manual underwriting contributes disproportionately to seriously-delinquent loans.
- HUD field offices retain authority to suspend underwriting at >200%.

HUD Enforcement: Each HUD field office can independently suspend lender underwriting authority when the compare ratio exceeds 200%.